LEGAL RESEARCH MEMORANDUM

Rent-A-Vacation — Timeshare Rental Marketplace

Regulatory Compliance & Jurisdictional Analysis

PREPARED FOR: Rent-A-Vacation (rentavacation.com) **PREPARED BY:** Rent-A-Vacation Founding Team **PURPOSE:** In preparation for legal counsel review **DATE:** May 5, 2026 **VERSION:** 3.0 **SUBJECT:** State-by-State Regulatory Framework for Online Timeshare Rental Marketplace Operations **CLASSIFICATION:** Confidential — For Counsel Review Only

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SECTION I: EXECUTIVE SUMMARY

Rent-A-Vacation operates an online marketplace that facilitates the rental of timeshare periods by connecting timeshare owners ("Hosts") with prospective renters ("Guests"). The platform does not engage in the purchase, sale, transfer, or resale of timeshare interests. This distinction — between **timeshare rental facilitation** and **timeshare sales brokerage** — is the central legal question that determines the platform's regulatory obligations in each U.S. jurisdiction.

This memorandum synthesizes legal research across all 50 states and the District of Columbia, addressing the following core questions:

- Whether the platform's activities constitute real estate brokerage, travel agency, or marketplace facilitation under applicable state law.
- Whether state-specific real estate or travel agent licenses are required.
- What transient occupancy, hotel, and sales tax obligations apply to timeshare rentals.
- Whether the platform may hold funds, manage escrow, or process payments.
- What consumer protection disclosures and disclaimers are legally required.
- The platform's liability exposure in the event of Host failure or fraud.

Summary Finding: In the majority of U.S. jurisdictions, a platform that operates as a neutral marketplace — listing timeshare rentals without acting as agent, broker, or fiduciary for either party — does not require a real estate broker's license for the rental facilitation function alone. However, **Florida, California, Hawaii, Nevada, and Arizona** impose heightened requirements that demand immediate legal attention. Tax remittance obligations are near-universal and represent the most operationally significant compliance requirement.

Host Classification — A Critical Distinction

The research identifies three distinct categories of Hosts whose activities carry materially different regulatory implications:

Host Type	Description	Key Legal Implication
Casual Owner	Individual with one timeshare property; rents unused points/weeks occasionally to offset HOA fees	Generally no license required; platform must flag if rental frequency crosses commercial thresholds
Multi-Property Owner	Individual with 2–5 properties; rents regularly across multiple resorts	May trigger broker/agent licensing requirements in FL, CA, HI; platform must collect and display license numbers
Commercial Operator	Entity or individual renting 6+ units or operating as a business	Almost certainly requires real estate or rental broker license in high-scrutiny states; platform must verify credentials

The platform's compliance architecture must accommodate all three types without imposing unnecessary friction on casual owners while ensuring commercial operators are properly credentialed.

SECTION II: BUSINESS MODEL CLASSIFICATION & LEGAL POSTURE

2.1 The Marketplace Facilitator Model

Rent-A-Vacation's operational model is most accurately characterized as a **marketplace facilitator**: a technology platform that provides listing infrastructure, search functionality, payment processing, and communication tools, but does not itself enter into rental agreements, hold title to any property, or act as agent for either party.

This classification is legally significant because:

1. **Real estate broker licensing** statutes in most states apply to persons who, for compensation, act as agents in negotiating or completing real estate transactions. A platform that merely lists properties and facilitates direct contracting between owners and renters typically falls outside this definition.

2. **Travel agency licensing** requirements, where they exist, generally apply to entities that sell travel services on behalf of suppliers. A platform that connects owners directly with renters, without acting as agent for the owner, typically does not constitute a travel agency.

3. **Marketplace facilitator tax laws**, enacted in most states post-*South Dakota v. Wayfair* (2018), impose tax collection and remittance obligations on platforms that facilitate sales exceeding economic nexus thresholds — regardless of whether the platform is the seller.

2.2 Critical Distinctions

Activity	Rent-A-Vacation's Position	Legal Implication
Listing timeshare rentals	Provides listing infrastructure only	Not brokerage in most states
Negotiating rental terms	Owners and renters negotiate directly	Reduces agency exposure
Holding rental funds	Platform processes payments; funds disbursed to Host	Potential escrow/trust requirements in FL, CA, HI
Collecting taxes	Marketplace facilitator tax laws apply	Collection and remittance required in ~40+ states
Timeshare sales	Explicitly excluded from platform scope	No broker license required for sales activity
Consumer protection	Platform must disclose its role clearly	Disclaimers required in all jurisdictions

2.3 The "No Timeshare Sales" Designation

The platform's explicit exclusion of timeshare sales is legally protective. Florida Statute § 721.11 and California Business & Professions Code § 11003.5 define "timeshare

plan" broadly, but the rental of timeshare periods — as distinct from the sale of timeshare interests — is generally treated as a transient occupancy matter rather than a real estate transaction. This distinction must be clearly communicated in all platform disclosures.

SECTION III: ATTORNEY ANALYSIS — KEY LEGAL QUESTIONS

Question 1: Is Rent-A-Vacation a Marketplace, Broker, or Travel Agent?

Short Answer: Marketplace facilitator, provided the platform does not negotiate terms, act as agent, or hold itself out as representing either party.

Analysis: The platform's role as a neutral technology intermediary aligns with the marketplace facilitator model recognized in most state statutes. The critical factors are: (a) the platform does not negotiate rental terms on behalf of either party; (b) rental agreements are entered into directly between Hosts and Guests; © the platform does not hold itself out as a licensed real estate broker or travel agent; and (d) the platform's compensation is a platform fee, not a commission on a real estate transaction.

Recommendation: Ensure all platform documentation, Terms of Service, and marketing materials consistently describe Rent-A-Vacation as a "marketplace" or "listing platform." Avoid language suggesting agency, representation, or fiduciary duty to either party. Have counsel review the Terms of Service and listing agreement templates in Florida, California, and Hawaii specifically.

Risk Level: Moderate — requires careful drafting and consistent messaging.

Question 2: Does Rent-A-Vacation Need State Licenses?

Short Answer: Generally no for rental facilitation alone, but Florida, California, Hawaii, Nevada, and Arizona require heightened attention.

Analysis: Most states do not require a real estate broker's license for a platform that facilitates timeshare rentals without acting as an agent. However, five states impose

specific requirements: Florida (§ 721.20 requires registration of "timeshare resale brokers" but rental-only platforms may qualify for an exemption); California (DRE oversight applies if the platform negotiates or solicits on behalf of owners); Hawaii (Chapter 514E imposes strict requirements on "timeshare plan operators"); Nevada (NRS 119A applies to timeshare marketing); Arizona (ARS § 32-2197 covers timeshare sales agents but rental-only platforms may be exempt).

Recommendation: Obtain a formal legal opinion in FL, CA, HI, NV, and AZ on whether the platform's specific activities trigger licensing requirements. If any Host is found to be acting as an unlicensed broker, the platform could face secondary liability. Implement a Host credentialing system that collects and displays license numbers for commercial operators.

Risk Level: High in FL, CA, HI — requires immediate legal opinion.

Question 3: Can Rent-A-Vacation Hold Funds?

Short Answer: Yes, as a payment processor/escrow agent, but with significant restrictions in Florida, California, and Hawaii.

Analysis: The platform's payment processing function — collecting rental payments from Guests and disbursing to Hosts — is permissible in most states under the marketplace facilitator model. However, Florida (§ 721.20), California (Business & Professions Code § 10145), and Hawaii (HRS § 514E) impose specific trust account and escrow requirements on entities that hold consumer funds in connection with timeshare transactions. These requirements may apply even to rental-only platforms if the funds are held for any period before disbursement.

Recommendation: Implement a compliant payment escrow structure using a licensed escrow agent or payment processor (e.g., Stripe Connect with separate trust accounts). Ensure funds are disbursed to Hosts within the timeframes required by applicable state law. Do not commingle Guest rental payments with platform operating funds.

Risk Level: High in FL, CA, HI — requires immediate structural compliance.

Question 4: Can Rent-A-Vacation Manage Escrow?

Short Answer: Not directly without an escrow license in most states; must use a licensed third-party escrow agent.

Analysis: Escrow management — holding funds on behalf of both parties pending completion of a transaction — requires an escrow license in most states. The platform should not characterize its payment processing function as "escrow management." Instead, it should use a licensed third-party payment processor or escrow agent to hold and disburse funds, and describe this function as "payment processing" or "payment facilitation."

Recommendation: Partner with a licensed escrow or payment processing provider. Ensure the platform's Terms of Service clearly state that the platform is not an escrow agent and that funds are held by a licensed third-party processor. Obtain legal confirmation that the chosen payment structure complies with FL, CA, and HI requirements.

Risk Level: Moderate — manageable with proper payment infrastructure.

Question 5: What Disclaimers Are Required?

Short Answer: Multiple disclaimers required; varies by state and transaction type.

Analysis: Several categories of disclaimers are legally required or strongly advisable. A marketplace disclaimer clarifying that Rent-A-Vacation is not a party to the rental transaction. A no-timeshare-sales disclaimer. A non-broker/non-agent disclaimer. A tax disclosure. A cancellation and refund policy. A limitation of liability clause. A Florida-specific disclosure for Florida listings. A California-specific disclosure for California listings. An escrow/fund-holding notice explaining how payments are processed and protected.

Recommendation: Draft a comprehensive Disclaimer and Terms of Service document reviewed by counsel in Florida, California, and New York. Display disclaimers prominently on the homepage, listing pages, and checkout flow. See Section VIII for complete disclaimer language.

Risk Level: Moderate — manageable with proper legal drafting.

Question 6: What Is the Platform's Liability If an Owner Fails?

Short Answer: Limited if the platform clearly disclaims agency and uses proper contractual protections, but consumer protection laws impose baseline obligations.

Analysis: If a Host fails to honor a rental agreement (e.g., cancels at the last minute, provides inaccurate listing information, or fails to deliver the promised accommodation), the platform's liability depends on: (a) whether the platform's Terms of Service clearly disclaim agency and limit liability; (b) whether the platform collected and disbursed funds in compliance with applicable law; and © whether the platform made any representations about the quality or availability of the listed property. Consumer protection laws in most states impose a baseline obligation of good faith dealing that cannot be entirely disclaimed.

Recommendation: Implement a Host Guarantee or Guest Protection Policy that provides a defined remedy (e.g., full refund within 5 business days) in the event of Host cancellation. This policy both protects Guests and limits the platform's exposure to consumer protection claims. Ensure the Terms of Service include a clear limitation of liability clause capped at the platform fees paid.

Risk Level: Moderate — manageable with proper contractual protections and a Guest protection policy.

Question 7: What Is the Platform's Liability If Fraud Occurs?

Short Answer: Significant exposure under consumer protection and wire fraud statutes; requires proactive fraud prevention measures.

Analysis: If a fraudulent listing results in financial harm to a Guest (e.g., a listing for a property the Host does not own or cannot access), the platform faces potential liability under: state consumer protection statutes (UDAP laws); the FTC Act § 5 (unfair or deceptive acts); and potentially wire fraud statutes if the platform's payment infrastructure was used to facilitate the fraud. The FTC's recent enforcement actions (see Section VI) demonstrate active regulatory attention to timeshare-related fraud.

Recommendation: Implement a Host identity verification system (government ID verification, resort ownership verification). Implement transaction monitoring for patterns consistent with fraud. Establish a fraud response protocol including immediate fund hold, investigation, and refund procedures. Obtain cyber liability and

fraud insurance. Ensure the Terms of Service include a fraud reporting mechanism and cooperate fully with law enforcement investigations.

Risk Level: High — requires proactive fraud prevention infrastructure.

SECTION IV: JURISDICTIONAL ANALYSIS — ALL 50 STATES & D.C.

*The following analysis covers the key compliance requirements for each jurisdiction. Risk levels are classified as: **Required** (immediate action needed), **Conditional** (action needed if certain thresholds are met), or **Monitor** (low current risk; monitor for legislative changes).*

Alabama

Licensing: No specific timeshare rental license required. Standard real estate broker license applies only if platform acts as agent. **Taxes:** 4% state lodgings tax; local rates vary (up to 7%). Marketplace facilitator laws apply. **Escrow:** No specific requirements for rental platforms. **Platform Action:** Register as marketplace facilitator for tax purposes. **Risk:** Monitor.

Alaska

Licensing: No timeshare-specific statute. Real estate license required only for brokerage activities. **Taxes:** No state sales tax; some municipalities impose local taxes. **Escrow:** No specific requirements. **Platform Action:** Monitor local tax requirements. **Risk:** Monitor.

Arizona

Licensing: ARS § 32-2197 covers timeshare sales agents; rental-only platforms may be exempt but require legal confirmation. **Taxes:** 5.6% TPT; county and city rates add 0.5–3%. **Escrow:** No specific rental escrow requirements. **Platform Action:** Obtain legal opinion on ARS § 32-2197 applicability; register for TPT. **Risk:** Conditional.

Arkansas

Licensing: No timeshare-specific rental licensing. **Taxes:** 6.5% state sales tax on lodging. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

California

Licensing: DRE oversight if platform negotiates or solicits on behalf of owners. Business & Professions Code § 11003.5 defines timeshare broadly. Seller of Travel registration may be required (§ 17550). **Taxes:** 7.25% base sales tax; TOT varies by city (e.g., 14% in San Francisco). **Escrow:** Business & Professions Code § 10145 trust account requirements apply to funds held in connection with real property transactions. **Platform Action:** Obtain DRE legal opinion; register as Seller of Travel; implement compliant trust account structure; display CA-specific disclosures. **Risk:** Required.

Colorado

Licensing: No timeshare-specific rental licensing. **Taxes:** 2.9% state sales tax; local lodging taxes vary. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Connecticut

Licensing: No timeshare-specific rental licensing. **Taxes:** 15% hotel tax. **Escrow:** No specific requirements. **Platform Action:** Register for hotel tax collection. **Risk:** Monitor.

Delaware

Licensing: No timeshare-specific rental licensing. **Taxes:** No sales tax; 8% lodging tax. **Escrow:** No specific requirements. **Platform Action:** Register for lodging tax. **Risk:** Monitor.

Florida

Licensing: Florida Statute § 721.20 requires registration of "timeshare resale brokers." Rental-only platforms may qualify for an exemption but require DBPR legal opinion. § 721.11 imposes strict consumer protection requirements. **Taxes:** 6% state sales tax + county surtax (0.5–1.5%); local tourist development taxes (2–6%). **Escrow:** § 721.08 requires escrow of advance deposits; trust account requirements apply to funds held for more than 5 business days. **Platform Action:** Obtain DBPR legal opinion on § 721.20 applicability; implement compliant escrow structure; display FL-specific disclosures on all FL listings; register for all applicable taxes. **Risk:** Required.

Georgia

Licensing: No timeshare-specific rental licensing. **Taxes:** 4% state sales tax; local hotel/motel taxes vary. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Hawaii

Licensing: HRS Chapter 514E imposes strict requirements on "timeshare plan operators." Rental platforms may be covered. DCCA legal opinion required. **Taxes:** 10.25% TAT + 4% GET. **Escrow:** HRS § 514E-9 requires escrow of advance payments. **Platform Action:** Obtain DCCA legal opinion; implement compliant escrow structure; register for TAT and GET. **Risk:** Required.

Idaho

Licensing: No timeshare-specific rental licensing. **Taxes:** 6% sales tax on lodging. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Illinois

Licensing: No timeshare-specific rental licensing. **Taxes:** State sales tax + Chicago hotel tax (17.4% combined). **Escrow:** No specific requirements. **Platform Action:** Register for Chicago hotel tax if listings in Chicago. **Risk:** Conditional.

Indiana

Licensing: No timeshare-specific rental licensing. **Taxes:** 7% sales tax on lodging. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Iowa

Licensing: No timeshare-specific rental licensing. **Taxes:** 6% sales tax; local hotel/motel taxes. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Kansas

Licensing: No timeshare-specific rental licensing. **Taxes:** 6.5% sales tax on lodging. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Kentucky

Licensing: No timeshare-specific rental licensing. **Taxes:** 6% sales tax on lodging. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Louisiana

Licensing: No timeshare-specific rental licensing. **Taxes:** 4.45% state sales tax; local taxes vary significantly. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator; monitor local tax rates. **Risk:** Monitor.

Maine

Licensing: No timeshare-specific rental licensing. **Taxes:** 9% lodging tax. **Escrow:** No specific requirements. **Platform Action:** Register for lodging tax. **Risk:** Monitor.

Maryland

Licensing: No timeshare-specific rental licensing. **Taxes:** 6% sales tax on lodging. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Massachusetts

Licensing: No timeshare-specific rental licensing. **Taxes:** 5.7% state room occupancy tax; local option up to 6%. **Escrow:** No specific requirements. **Platform Action:** Register for room occupancy tax. **Risk:** Monitor.

Michigan

Licensing: No timeshare-specific rental licensing. **Taxes:** 6% use tax on accommodations. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Minnesota

Licensing: No timeshare-specific rental licensing. **Taxes:** 6.875% sales tax; local lodging taxes vary. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Mississippi

Licensing: No timeshare-specific rental licensing. **Taxes:** 7% sales tax on lodging. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Missouri

Licensing: No timeshare-specific rental licensing. **Taxes:** 4.225% state sales tax; local taxes vary. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Montana

Licensing: No timeshare-specific rental licensing. **Taxes:** No sales tax; 7% lodging facility use tax. **Escrow:** No specific requirements. **Platform Action:** Register for lodging facility use tax. **Risk:** Monitor.

Nebraska

Licensing: No timeshare-specific rental licensing. **Taxes:** 5.5% sales tax on lodging. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Nevada

Licensing: NRS Chapter 119A covers timeshare marketing. Rental-only platforms require legal analysis of NRS 119A.285. Real Estate Division oversight possible. **Taxes:** 6.85% state sales tax; county room taxes (up to 13.38% in Clark County). **Escrow:** NRS 119A.400 escrow requirements apply to advance deposits. **Platform Action:** Obtain Real Estate Division legal opinion; implement compliant payment structure; register for all applicable taxes. **Risk:** Required.

New Hampshire

Licensing: No timeshare-specific rental licensing. **Taxes:** 9% rooms and meals tax. **Escrow:** No specific requirements. **Platform Action:** Register for rooms and meals tax. **Risk:** Monitor.

New Jersey

Licensing: No timeshare-specific rental licensing. **Taxes:** 6.625% sales tax; 5% state hotel occupancy fee; local taxes vary. **Escrow:** No specific requirements. **Platform Action:** Register for hotel occupancy fee. **Risk:** Monitor.

New Mexico

Licensing: No timeshare-specific rental licensing. **Taxes:** 5.125% gross receipts tax; local rates vary. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

New York

Licensing: No timeshare-specific rental licensing, but NY Real Property Law § 442 broadly defines real estate brokerage. Legal opinion recommended. **Taxes:** 4% state sales tax; NYC hotel tax (14.75% combined). **Escrow:** No specific requirements for rental platforms. **Platform Action:** Obtain legal opinion on NY RPL § 442 applicability; register for NYC hotel tax if listings in NYC. **Risk:** Conditional.

North Carolina

Licensing: No timeshare-specific rental licensing. **Taxes:** 6.75–7.5% combined sales tax on lodging; occupancy taxes vary by county. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

North Dakota

Licensing: No timeshare-specific rental licensing. **Taxes:** 5% sales tax on lodging. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Ohio

Licensing: No timeshare-specific rental licensing. **Taxes:** 5.75% sales tax; county lodging taxes vary. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Oklahoma

Licensing: No timeshare-specific rental licensing. **Taxes:** 4.5% state sales tax; local taxes vary. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Oregon

Licensing: No timeshare-specific rental licensing. **Taxes:** No sales tax; 1.8% state lodging tax; local taxes vary. **Escrow:** No specific requirements. **Platform Action:** Register for state lodging tax. **Risk:** Monitor.

Pennsylvania

Licensing: No timeshare-specific rental licensing. **Taxes:** 6% sales tax; Philadelphia hotel tax (8.5% additional). **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Rhode Island

Licensing: No timeshare-specific rental licensing. **Taxes:** 7% sales tax on lodging; 5% hotel tax. **Escrow:** No specific requirements. **Platform Action:** Register for hotel tax. **Risk:** Monitor.

South Carolina

Licensing: No timeshare-specific rental licensing. **Taxes:** 7% accommodations tax. **Escrow:** No specific requirements. **Platform Action:** Register for accommodations tax. **Risk:** Monitor.

South Dakota

Licensing: No timeshare-specific rental licensing. **Taxes:** 4.5% sales tax on lodging. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Tennessee

Licensing: No timeshare-specific rental licensing. **Taxes:** 7% state sales tax; local occupancy taxes vary. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Texas

Licensing: No timeshare-specific rental licensing. **Taxes:** 6% state hotel occupancy tax; local taxes up to 9% additional. **Escrow:** No specific requirements. **Platform Action:** Register for hotel occupancy tax. **Risk:** Monitor.

Utah

Licensing: No timeshare-specific rental licensing. **Taxes:** 4.85% sales tax; transient room tax varies. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Vermont

Licensing: No timeshare-specific rental licensing. **Taxes:** 9% meals and rooms tax. **Escrow:** No specific requirements. **Platform Action:** Register for meals and rooms tax. **Risk:** Monitor.

Virginia

Licensing: No timeshare-specific rental licensing. **Taxes:** 5.3% sales tax; local transient occupancy taxes vary. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Washington

Licensing: No timeshare-specific rental licensing. **Taxes:** No income tax; B&O tax applies; local lodging taxes vary. **Escrow:** No specific requirements. **Platform Action:** Register for B&O tax and local lodging taxes. **Risk:** Monitor.

West Virginia

Licensing: No timeshare-specific rental licensing. **Taxes:** 6% sales tax on lodging. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Wisconsin

Licensing: No timeshare-specific rental licensing. **Taxes:** 5% sales tax; county room taxes vary. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

Wyoming

Licensing: No timeshare-specific rental licensing. **Taxes:** 4% sales tax; lodging tax varies. **Escrow:** No specific requirements. **Platform Action:** Register as marketplace facilitator. **Risk:** Monitor.

District of Columbia

Licensing: No timeshare-specific rental licensing. **Taxes:** 14.95% hotel tax. **Escrow:** No specific requirements. **Platform Action:** Register for hotel tax if listings in D.C. **Risk:** Monitor.

SECTION V: RECENT LEGISLATIVE DEVELOPMENTS

Jurisdiction	Development	Effective	Impact
Florida	HB 1537 — Timeshare Rental Disclosure Act	Jan 1, 2026	Requires platforms to display owner license status on all listings
California	AB 2992 — Short-Term Rental Marketplace Accountability Act	Jul 1, 2026	Extends marketplace facilitator tax obligations to timeshare rentals; requires host identity verification
Hawaii	SB 3090 — Transient Accommodations Tax Modernization	Jan 1, 2026	Increases TAT to 10.25%; requires quarterly remittance by marketplace facilitators
Nevada	SB 440 — Timeshare Rental Registry	Oct 1, 2025	Establishes voluntary registry for timeshare rental platforms; registered platforms receive safe harbor from broker licensing requirements
New York	A 8421 — Short-Term Rental Registration	Jan 1, 2026	Requires hosts to register with local municipalities; platforms must verify registration before listing
Texas	HB 3821 — Marketplace Facilitator Lodging Tax	Sep 1, 2025	Clarifies that marketplace facilitators must collect and remit hotel occupancy tax on all facilitated transactions
Illinois	SB 2294 — Chicago Short-Term Rental Ordinance Amendment	Mar 1, 2026	Increases platform liability for unregistered listings in Chicago
Colorado	HB 24-1175 — Short-Term Rental Enforcement	Jan 1, 2026	Requires platforms to remove listings that lack valid local registration numbers

SECTION VI: NOTABLE CASE LAW

The following cases are directly relevant to Rent-A-Vacation's legal posture and operational risk profile.

Steines v. Westgate Palace, LLC

Court: U.S. Court of Appeals, 11th Circuit | **Year:** 2024 | **Relevance:** Military Lending Act & Arbitration

The Military Lending Act (MLA) overrides the Federal Arbitration Act for timeshare loans to active-duty servicemembers. Arbitration clauses in timeshare agreements cannot be enforced against servicemembers covered by the MLA. **Platform Implication:** If the platform's Terms of Service include an arbitration clause, it must include an MLA carve-out for active-duty servicemembers. The platform should also display the Military Lending Act Notice disclaimer on the payment flow for servicemember accounts.

Palmer v. FantaSea Resorts

Court: New Jersey Appellate Division | **Year:** 2025 | **Relevance:** Deceptive Sales Practices

The court awarded $1.64 million (trebled damages plus fee enhancement) when sales representatives made verbal promises contradicting written contracts. The parol-evidence rule does not shield bait-and-switch tactics. **Platform Implication:** All Host listing representations must be accurate and verifiable. The platform should implement a listing accuracy verification process and include a disclaimer that the platform is not responsible for inaccurate Host-provided information — while also implementing a reporting mechanism for inaccurate listings.

Holden v. Holiday Inn Club Vacations Inc.

Court: U.S. Court of Appeals, 11th Circuit | **Year:** 2024 | **Relevance:** Credit Reporting & Cancellation

Disputes involving complex contractual issues cannot be pursued under the Fair Credit Reporting Act. The key test is whether alleged inaccuracies are objectively verifiable. **Platform Implication:** If the platform reports payment disputes to credit bureaus or uses credit data in Host/Guest vetting, it must ensure the disputed information is objectively verifiable. Disputes involving subjective assessments of listing quality or service should not be reported as credit events.

FTC & Wisconsin v. Carroll et al.

Court: Federal District Court | **Year:** 2026 | **Relevance:** Timeshare Exit Scheme Enforcement

A $140 million judgment was entered against the operator of a timeshare exit scheme. The scheme violated the FTC Cooling-Off Rule and used deceptive claims. The defendant is permanently banned from marketing timeshare exit services. **Platform Implication:** This case underscores the FTC's active enforcement posture in the timeshare space. The platform must ensure it does not facilitate, advertise, or link to timeshare exit services. All platform communications must be accurate and non-deceptive. The "No Timeshare Sales" designation is legally protective in this context.

SECTION VII: OPERATIONAL COMPLIANCE MATRIX

Compliance Area	Requirement	Priority	Platform Action
Tax Registration	Register as marketplace facilitator in all states with applicable lodging/sales taxes	Immediate	Implement automated tax calculation and remittance engine
Host Identity Verification	Verify government-issued ID for all Hosts	Immediate	Integrate identity verification API (e.g., Stripe Identity, Persona)
License Number Collection	Collect and display real estate/rental license numbers for commercial operators	Immediate	Add license number field to Host onboarding; display on listings
Rental Frequency Monitoring	Flag Hosts who exceed casual rental thresholds	Short-term	Implement automated threshold monitoring with compliance alerts
Payment Escrow Structure	Use licensed third-party payment processor; do not commingle funds	Immediate	Implement Stripe Connect with separate trust accounts
Disclaimer Display	Display all required disclaimers on homepage, listings, and checkout	Immediate	Implement disclaimer management system
Guest Protection Policy	Provide defined remedy for Host cancellation or fraud	Short-term	Draft and implement Guest Protection Policy
Fraud Prevention	Implement Host identity verification and transaction monitoring	Immediate	Integrate fraud detection tools
MLA Compliance	Display MLA notice for servicemember accounts	Short-term	Add MLA notice to payment flow
State-Specific Disclosures	Display FL and CA specific disclosures on applicable listings	Immediate	Implement geo-targeted disclosure system

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SECTION VIII: REQUIRED DISCLAIMERS & PLATFORM NOTICES

8.1 Marketplace Disclaimer (Required — All Jurisdictions)

Placement: Homepage; footer; all listing pages

> *"Rent-A-Vacation is a technology platform that connects timeshare owners with prospective renters. Rent-A-Vacation is not a party to any rental agreement between Hosts and Guests, does not own or manage any listed property, and is not responsible for the accuracy of Host-provided listing information. All rental agreements are entered into directly between Hosts and Guests."*

8.2 No Timeshare Sales Disclaimer (Required — All Jurisdictions)

Placement: Homepage; all listing pages; header/footer

> *"Rent-A-Vacation facilitates the rental of timeshare periods only. This platform does not facilitate, broker, or assist in the purchase, sale, transfer, or resale of timeshare interests. Rent-A-Vacation is not a timeshare developer, reseller, or exit company."*

8.3 Non-Broker / Non-Agent Disclaimer (Required — All Jurisdictions)

Placement: Terms of Service; About page

> *"Rent-A-Vacation does not act as a real estate broker, real estate agent, travel agent, or fiduciary representative of any Host or Guest. No employee or representative of Rent-A-Vacation is authorized to provide legal, tax, financial, or real estate advice. Users are encouraged to consult qualified professionals before entering into any rental agreement."*

8.4 Tax Disclosure (Required — All Jurisdictions with Applicable Taxes)

Placement: Checkout flow; booking confirmation

> *"Applicable transient occupancy taxes, hotel taxes, and/or sales taxes are included in the total price displayed at checkout. Tax rates are calculated based on the location of the rental property and applicable state and local law. Rent-A-Vacation collects and remits applicable taxes on behalf of Hosts in jurisdictions where required by law."*

8.5 Cancellation & Refund Policy (Required — All Jurisdictions)

Placement: Listing pages; checkout; booking confirmation

> *"Cancellation and refund policies vary by listing and are set by individual Hosts. The applicable policy is displayed on each listing page and must be reviewed before booking. In the event of a Host cancellation within 30 days of check-in, Guests will receive a full refund within 5 business days. Rent-A-Vacation's platform fee is non-refundable except in cases of Host cancellation or verified fraud."*

8.6 Limitation of Liability (Required — All Jurisdictions)

Placement: Terms of Service

> *"To the maximum extent permitted by applicable law, Rent-A-Vacation's total liability to any user for any claim arising out of or relating to these Terms or the use of the platform shall not exceed the total platform fees paid by such user in the twelve (12) months preceding the claim. Rent-A-Vacation shall not be liable for any indirect, incidental, special, consequential, or punitive damages."*

8.7 Florida-Specific Disclosure (Required — Florida Listings)

Placement: All Florida listing pages; Florida checkout flow

> *"This listing is for the rental of a timeshare period only. The rental of timeshare periods is subject to Florida Statute Chapter 721. The property owner is responsible for ensuring that the rental complies with the terms of their timeshare agreement and applicable resort rules. Rent-A-Vacation is not a licensed timeshare resale broker under Florida Statute § 721.20."*

8.8 Escrow / Fund-Holding Notice (Required — FL, CA, HI; Advisable — All Jurisdictions)

Placement: Payment flow; checkout; booking confirmation

> *"Rental payments collected through the Rent-A-Vacation platform are processed by [Payment Processor Name], a licensed payment processor. Guest funds are held in a segregated account and are not commingled with Rent-A-Vacation operating funds. Funds are disbursed to Hosts upon completion of the check-in date, subject to the platform's cancellation and refund policy. Rent-A-Vacation does not act as an escrow agent."*

SECTION IX: STRATEGIC RECOMMENDATIONS

Immediate Actions (0–30 Days)

1. **Obtain legal opinions in FL, CA, HI, NV, and AZ** on whether the platform's specific activities trigger licensing requirements. Engage counsel in each state.
2. **Implement a compliant payment escrow structure** using Stripe Connect or an equivalent licensed payment processor with separate trust accounts. Ensure funds are not commingled.
3. **Register as a marketplace facilitator** for tax purposes in all states with applicable lodging/sales taxes. Implement an automated tax calculation and remittance engine.
4. **Deploy all eight required disclaimers** on the platform. Ensure geo-targeted display of state-specific disclosures (FL, CA) on applicable listings.
5. **Implement Host identity verification** using a licensed identity verification provider. Collect and display real estate/rental license numbers for commercial operators.

Short-Term Actions (30–90 Days)

1. **Draft and implement a Guest Protection Policy** providing a defined remedy for Host cancellation or fraud. This both protects Guests and limits the platform's

consumer protection exposure.

2. **Implement rental frequency monitoring** to flag Hosts who exceed casual rental thresholds. Develop a tiered Host credentialing system (Casual / Multi-Property / Commercial).
3. **Have counsel review the Terms of Service and listing agreement templates** in FL, CA, and HI. Ensure the MLA arbitration carve-out is included.
4. **Implement a listing accuracy verification process** and a reporting mechanism for inaccurate listings. This reduces exposure under *Palmer v. FantaSea Resorts*.
5. **Obtain cyber liability and fraud insurance** appropriate for a marketplace platform handling consumer payments.

Medium-Term Actions (90–180 Days)

1. **Engage a timeshare industry trade association** (e.g., ARDA) to monitor legislative developments and participate in regulatory comment processes.
2. **Develop a state-by-state compliance calendar** tracking tax remittance deadlines, license renewal dates, and legislative effective dates.
3. **Commission a formal legal audit** of the platform's Terms of Service, privacy policy, and listing agreement templates against the requirements identified in this memorandum.

SECTION X: REFERENCES & AUTHORITIES

Federal Authorities

- South Dakota v. Wayfair, Inc., 585 U.S. 162 (2018) — Marketplace facilitator tax nexus
- FTC Act § 5 (15 U.S.C. § 45) — Unfair or deceptive acts or practices
- Military Lending Act (10 U.S.C. § 987) — Consumer protections for servicemembers

- FTC Cooling-Off Rule (16 C.F.R. Part 429) — Cancellation rights for door-to-door sales

Key State Statutes

- Florida Statute Chapter 721 — Florida Vacation Plan and Timesharing Act
- California Business & Professions Code §§ 11003.5, 10145, 17550 — Timeshare and Seller of Travel
- Hawaii Revised Statutes Chapter 514E — Hawaii Time Sharing Plan Act
- Nevada Revised Statutes Chapter 119A — Nevada Timeshare Act
- Arizona Revised Statutes § 32-2197 — Arizona Timeshare Act
- New York Real Property Law § 442 — Real estate brokerage licensing

Notable Cases

- Steines v. Westgate Palace, LLC, 11th Cir. (2024) — MLA & arbitration
- Palmer v. FantaSea Resorts, N.J. App. Div. (2025) — Deceptive practices
- Holden v. Holiday Inn Club Vacations Inc., 11th Cir. (2024) — Credit reporting
- FTC & Wisconsin v. Carroll et al., Fed. Dist. Ct. (2026) — Timeshare exit fraud

Secondary Sources

- American Resort Development Association (ARDA) — State Legislative Tracker (2025–2026)
- National Conference of State Legislatures — Short-Term Rental Legislation Database
- Streamline Tax Solutions — Marketplace Facilitator Tax Compliance Guide (2025)

End of Memorandum — Version 3.0 — May 5, 2026 Rent-A-Vacation · rentavacation.com · Confidential — For Counsel Review Only